THESE STATEMENTS WERE PROVIDED BY THE STATE OF HAWAII, DEPARTMENT OF THE ATTORNEY GENERAL

QUESTION #2: Directing the Hawaii State Legislature to Establish Procedures for Counties to Issue RISE Bonds, Exempt from County Debt Limits.

QUESTION
Shall the Hawaii State Constitution be amended to direct the legislature to authorize the counties to issue resilient infrastructure for shelter and equity bonds to fund public improvements in designated districts, repaid solely by future growth in property tax revenues within those districts, not by increasing real property tax rates, where such bonds are excluded from the counties' debt limit and are subject to accountability and oversight requirements as may be provided by law?

EXPLANATION
Article VII, section 12, of the Hawaii State Constitution directs the Hawaii State Legislature to authorize the counties to issue several types of bonds. This amendment to Article VII, section 12, of the Constitution would create a new type of bond called a resilient infrastructure for shelter and equity (RISE) bond and direct the Hawaii State Legislature to establish laws that would allow the counties to issue RISE bonds.

Article VII, section 13, of the Hawaii State Constitution excludes certain types of bonds from the maximum amount of debt that a county is allowed to issue. This amendment to Article VII, section 13, of the Hawaii State Constitution would add RISE bonds to the list of bonds that are excluded when calculating a county's maximum debt level, making RISE bonds exempt from the counties' debt limits.

RISE bonds are a form of financing payable solely from incremental increases in real property tax revenue received by a county from designated districts that result from the natural growth of real property values in those districts.

The proposed amendment does not authorize the creation of a new tax nor does it increase property tax rates.

MEANING OF "YES" VOTE
A "yes" vote would direct the Legislature to establish laws allowing the counties to issue RISE Bonds, which would be excluded from county debt limits, and authorize their repayment only from the future real property tax growth in the areas they help develop.

MEANING OF "NO" VOTE
A "no" vote would make no change to the Hawaii State Constitution, which currently does not allow the issuance of RISE Bonds.

MEANING OF BLANK VOTE OR OVERVOTE
A "blank" vote is not tallied as a "yes" vote or a "no" vote upon the question. Instead, a "blank" vote is only counted toward the total number of votes cast. Similarly, an "overvote" is not tallied as a "yes" vote or a "no" vote upon the question. Instead, an "overvote" is only counted toward the total number of votes cast.

In order for a proposed amendment to the Hawaii State Constitution to be ratified, it must be approved by a majority of all votes tallied upon the question (i.e., only "yes" and "no" votes). Additionally, this majority must constitute at least fifty percent of the total votes cast at the election (i.e., "yes," "no," "blank," and "overvotes").

For the full text of these proposed amendments, go to **elections.hawaii.gov** or call (808) 453-8683.